Mindteck Middle East Limited SPC

Financial Statements and Independent Auditor's Report for the Year Ended 31 March 2016

Contents

Commercial registration number	49063-01
Board of directors	Harish Aravindakshan Nair Aveenth Gupta Pradeep Kizhakkethil Shankattu Shivarama Adiga
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Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC

Report on the financial statements

We have audited the accompanying financial statements of Mindteck Middle East Limited SPC, (the "Company"), which comprise the statement of financial position as at 31 March 2016, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's responsibility for the financial statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2016, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards.

Independent auditor's report
To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Report on other regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, we report that we have obtained all the information we considered necessary for the purpose of our audit; the Company has maintained proper books of account and the financial statements are in agreement therewith.

In connection with our audit, we report the following:

a) As per the Articles of Association of the Company the financial year end is 30 June, however, the Company has been preparing its financial statements as at 31 March each year.

Except for the above, we report that we have obtained all the information we considered necessary for the purpose of our audit; and the Company has maintained proper books of account and the financial statements are in agreement therewith; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, Decree Number 21 of 2001, or of its Memorandum or Articles of Association, which would materially affect its activities, or its financial position as at 31 March 2016.

RSM.

Registration number 69
27 April 2016
Manama, Kingdom of Bahrain

Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2016 (in Bahraini Dinars)

	Note	2016	2015
Assets			
Non-current assets			
Property, plant and equipment	5	355	446
		355	**446**
Current assets			
Trade and other receivables	6	137,000	134,716
Advances, deposits and prepayments	7	18,074	9,779
Bank balance	8	5,457	12,525
		160,531	**157,020**
Total assets		**160,886**	**157,466**
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	16,093	16,093
Accumulated losses		(30,962)	(5,542)
		35,131	**60,551**
Non-current liabilities			
Employee terminal benefits		24,000	-
		24,000	**-**
Current liabilities			
Other payables	11	80,196	76,570
Accrued liabilities	12	21,559	20,345
		101,755	**96,915**
Total equity and liabilities		**160,886**	**157,466**

These financial statements were approved by the Board of Directors on 27 April 2016 and signed on its behalf by:

Harish Aravindakshan Nair
Director

Pradeep Kizhakkethil
Director

Notes 1 to 18 on pages 9 to 21 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of profit or loss and other comprehensive income

for the year ended 31 March 2016 (in Bahraini Dinars)

	Note	2016	2015
Income			
Revenue		429,905	446,813
Direct costs		(350,888)	(350,893)
Gross profit		**79,017**	**95,920**
Exchange gain or (loss)		4,932	213
Other income		6,561	-
		90,510	**96,133**
Expenses			
General and administrative expenses	13	115,262	67,951
Marketing, selling and distribution expenses		668	-
		115,930	**67,951**
(Loss) / profit for the year		**(25,420)**	**28,182**
Other comprehensive income		-	-
Total comprehensive (loss)/ income for the year		**(25,420)**	**28,182**

These financial statements were approved by the Board of Directors on 27 April 2016 and signed on its behalf by:

Harish Aravindakshan Nair
Director

Pradeep Kizhakkethil
Director

Notes 1 to 18 on pages 9 to 21 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2016 (in Bahraini Dinars)

	Share capital	Statutory reserve	Accumulated losses	Total
As at 31 March 2014	**50,000**	**13,275**	**(30,906)**	**32,369**
Profit for the year	-	-	28,182	**28,182**
Transfer to statutory reserve	-	2,818	(2,818)	-
As at 31 March 2015	**50,000**	**16,093**	**(5,542)**	**60,551**
Loss for the year	-	-	(25,420)	(25,420)
Transfer to statutory reserve	-	-	-	-
As at 31 December 2016	**50,000**	**16,093**	**(30,962)**	**35,131**

Mindteck Middle East Limited SPC

Statement of cash flows for the year ended 31 March 2016 (in Bahraini Dinars)

	2016	2015
Cash flows from operating activities:		
(Loss) / profit for the year	(25,420)	28,182
Adjustments for:		
Depreciation	91	262
Employee terminal benefits	24,000	-
Provision for doubtful receivables	-	63
Changes in operating assets and liabilities:		
Trade and other receivables	(2,284)	(38,233)
Advances, deposits and prepayments	(8,295)	(6,497)
Other payables	3,626	(6,079)
Accrued liabilities	1,214	8,200
Cash used in operations	**(7,068)**	**(14,102)**
Employee terminal benefits paid	-	-
Net cash used in operating activities	**(7,068)**	**(14,102)**
Cash flows from investing activities:		
Purchase of property, plant and equipment	-	(320)
Net cash used in investing activities	**-**	**(320)**
Net decrease in cash and cash equivalents	**(7,068)**	**(14,422)**
Cash and cash equivalents at the beginning of the year	12,525	26,947
Cash and cash equivalents at the end of year (note: 8)	**5,457**	**12,525**

1. Legal status and nature of activities

Mindteck Middle East Limited SPC, (the "Company"), is a single person company registered with Ministry of Industry and Commerce in the Kingdom of Bahrain under the commercial registration number 49063-01 dated 27 July 2002.

The principle activities of the Company are to provide:
(i) Consultancy services for computer system use and operation
(ii) Computer software design, development and maintenance; and
(iii) Consultancy for computer hardware and software.

2. Basis of preparation

2.1 Statement of compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards ('IFRS'), being standards and interpretations issued by the International Accounting Standards Board, in force at 31 March 2016, and the applicable provisions of the Bahrain Commercial Companies Law Decree No. 21 of 2001.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the statement of profit or loss. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The Company believes this method provides more useful information to the readers of the financial statements as it better reflects the way operations are run from a business point of view. The statement of financial position format is based on a current and non-current distinction.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention except for any modifications required by IFRSs referred to in the accounting policies given below. Historical cost is generally based on the fair value of the consideration given in exchange for assets. The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise judgment in the process of applying the Company's accounting policies.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the management (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

- Level 2 fair value measurements are those derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (ie as prices) or indirectly (ie derived from prices).

- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Group at the end of the reporting period during which the change occurred.

These financial statements are presented in Bahraini Dinars (BD) which is the functional currency of the Company.

2.3 Going concern

These financial statements are prepared on the basis that the Company is a going concern and will continue in operation for the foreseeable future and it has no intention or necessity to liquidate.

2.4 Application of new and amended pronouncements

For the preparation of these financial statements, the following new, revised or amended pronouncements are mandatory for the first time for the financial year beginning 1 January 2015 (the list does not include information about new or amended requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the Company).

▪ Amendment to IAS 16 and IAS 38 (Annual Improvements to IFRSs 2010–2012 Cycle, issued in December 2013) – The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how the gross carrying amount and the accumulated depreciation / amortisation are treated where an entity uses the revaluation model. As the Company does not use the revaluation model, there was no effect on its financial statements.

▪ Amendments to IAS 19 titled Defined Benefit Plans: Employee Contributions (issued in November 2013) – The amendments, applicable to annual periods beginning on or after 1 July 2014, clarify the requirements that relate to how contributions from employees or third parties that are linked to service should be attributed to periods of service. In particular, contributions that are independent of the number of years of service can be recognised as a reduction in the service cost in the period in which the related service is rendered (instead of attributing them to the periods of service). As the Company has no post-employment benefit plans requiring employees or third parties to meet some of the cost of the plan, the amendments had no effect on its financial statements.

▪ Amendment to IAS 24 (Annual Improvements to IFRSs 2010–2012 Cycle, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies how payments to entities providing key management personnel services are to be disclosed. This amendment had no effect on the Company's financial statements.

- Amendment to IFRS 13 (Annual Improvements to IFRSs 2011–2013 Cycle, issued in December 2013) - The amendment, applicable to annual periods beginning on or after 1 July 2014, clarifies that the portfolio exception in IFRS 13 - allowing an entity to measure the fair value of a group of financial assets and financial liabilities on a net basis - applies to all contracts (including non-financial) within the scope of IAS 39 / IFRS 9. This had no effect on the Company's financial statements.

2.5 New and amended pronouncements in issue but not yet effective

The Company has not applied the following new or amended standards that have been issued by the IASB but are not yet effective for the financial year beginning 1 January 2015 (the list does not include information about new requirements that affect interim financial reporting or first-time adopters of IFRS since they are not relevant to the Company's financial statements).

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective. The Company has assessed, where practicable, the potential impact of all these new standards, amendments and interpretations that will be effective in future periods.

- Amendments to IAS 1 titled Disclosure Initiative (issued in December 2014) – The amendments, applicable to annual periods beginning on or after 1 January 2016, clarify guidance on materiality and aggregation, the presentation of subtotals, the structure of financial statements and the disclosure of accounting policies. The amendments are not expected to have a material effect on the Company's financial statements.

- Amendment to IAS 16 and IAS 38 titled Clarification of Acceptable Methods of Depreciation and Amortisation (issued in May 2014) – The amendments add guidance and clarify that (i) the use of revenue-based methods to calculate the depreciation of an asset is not appropriate because revenue generated by an activity that includes the use of an asset generally reflects factors other than the consumption of the economic benefits embodied in the asset, and (ii) revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset; however, this presumption can be rebutted in certain limited circumstances. They are prospectively effective for annual periods beginning on or after 1 January 2016. The management does not anticipate any effect on the Company's financial statements.

- Amendment to IAS 19 (Annual Improvements to IFRSs 2012–2014 Cycle, issued in September 2014) - The amendment, applicable to annual periods beginning on or after 1 January 2016, clarifies that the high quality corporate bonds used in estimating the discount rate for post-employment benefits should be denominated in the same currency as the benefits to be paid. This is not expected to have an effect on the Company's financial statements.

- Amendment to IFRS 5 (Annual Improvements to IFRSs 2012–2014 Cycle, issued in September 2014) - The amendment, applicable prospectively to annual periods beginning on or after 1 January 2016, adds specific guidance when an entity reclassifies an asset (or a disposal group) from held for sale to held for distribution to owners, or vice versa, and for cases where held-for-distribution accounting is discontinued. This is not expected to have an effect on the Company's financial statements.

- Amendment to IFRS 7 (Annual Improvements to IFRSs 2012–2014 Cycle, issued in September 2014) - The amendment, applicable to annual periods beginning on or after 1 January 2016, adds guidance to clarify whether a servicing contract is continuing involvement in a transferred asset. This is not expected to have an effect on the Company's financial statements.

- IFRS 9 Financial Instruments (issued in July 2014) – This standard will replace IAS 39 (and all the previous versions of IFRS 9) effective for annual periods beginning on or after 1 January 2018. It contains requirements for the classification and measurement of financial assets and financial liabilities, impairment, hedge accounting and de-recognition.

- IFRS 9 requires all recognised financial assets to be subsequently measured at amortised cost or fair value (through profit or loss or through other comprehensive income), depending on their classification by reference to the business model within which they are held and their contractual cash flow characteristics.

- For financial liabilities, the most significant effect of IFRS 9 relates to cases where the fair value option is taken: the amount of change in fair value of a financial liability designated as at fair value through profit or loss that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income (rather than in profit or loss), unless this creates an accounting mismatch.

- For the impairment of financial assets, IFRS 9 introduces an "expected credit loss" model based on the concept of providing for expected losses at inception of a contract; it will no longer be necessary for there to be objective evidence of impairment before a credit loss is recognised.

- For hedge accounting, IFRS 9 introduces a substantial overhaul allowing financial statements to better reflect how risk management activities are undertaken when hedging financial and non-financial risk exposures.

- The derecognition provisions are carried over almost unchanged from IAS 39.

The management anticipate that IFRS 9 will be adopted in the Company's financial statements when it becomes mandatory and that they do not anticipate any material effect on the Company's financial assets and financial liabilities. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

- IFRS 15 Revenue from Contracts with Customers (issued in May 2014) - The new standard, effective for annual periods beginning on or after 1 January 2018, replaces IAS 11, IAS 18 and their interpretations (SIC-31 and IFRIC 13, 15 and 18). It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and capital markets, with a core principle (based on a five-step model to be applied to all contracts with customers), enhanced disclosures, and new or improved guidance (e.g. the point at which revenue is recognised, accounting for variable consideration, costs of fulfilling and obtaining a contract, etc.). The management anticipate that IFRS 15 will be adopted in the Company's financial statements when it becomes mandatory and that the application of the new standard might have a significant effect on amounts reported in respect of the Company's revenue. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

- IFRS 16 Leases (issued in January 2016) - The new standard, effective for annual periods beginning on or after 1 January 2019, replaces IAS 17 and their interpretations (SIC-15, SIC - 27 and IFRIC 4). It introduces a single lessee accounting model that requires a lessee to recognise assets and liabilities for all leases with a term of more than 12 months, unless the underlying asset is of low value. The management anticipates that IFRS 16 will be adopted in the Company's financial statements when it becomes mandatory and that the most significant effect of the new requirements will be an increase in lease assets and financial liabilities. Further, there will be changes to the nature of expenses from straight-line operating lease expenses with a depreciation charge for lease assets. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

3. Significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1 Property, plant and equipment

On initial recognition, items of property, plant, and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of property, plant, and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and equipment	25%
Motor vehicle	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal.

Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2 Trade and other receivables

Trade and other receivables are recognised initially at the transaction price. They are subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of trade and other receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables.

3.3 Cash and cash equivalents

Cash and cash equivalents comprise of bank balance. Bank balance is carried at amortised cost using the effective interest method minus any reduction for impairment or uncollectibility.

3.4 Employee benefits and entitlements

3.4.1 Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.4.2 Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.5 Other payables

Trade and other payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

3.6 Related party transactions

Related parties comprise the shareholders, owners, directors and such other entities over which the Company or its shareholders can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.7 Revenue recognition

3.7.1 Rendering of services

Contract revenues earned are recognized under the percentage of completion method, measured by the percentage of cost incurred to the total estimated cost for each contract.

Revenue arising from contract variations/claims is not accounted for unless it is probable that the customer will approve the variations/claims and the amount of revenue arising from the variations/claims can be measured reliably.

Losses on contracts are assessed on an individual contract basis and a provision is made for the full amount of the anticipated losses, including any losses relating to future work on a contract, in the period in which the loss is first foreseen.

Servicing fees are recognised over the term of the servicing contract.

3.8 Interest income

Interest income is recognised on a time-proportion basis using the effective interest method.

3.9 Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.10 Foreign currency

Foreign currency transactions are translated into functional currency using the exchange rate prevailing at the date of the transaction. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of profit or loss.

3.11 Finance costs

Finance costs directly attributable to the acquisition, construction or production of qualifying assets are capitalised. Qualifying assets are assets that necessarily take substantial period of time to get ready for their intended use. All other finance costs are recognised as an expense in the period in which they are incurred.

3.12 Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

3.13 Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction. To the extent those proceeds exceed the par value of the shares issued they are credited to a share premium account.

4. Critical accounting judgments and key estimations

The preparation of financial statements in conformity with approved IFRS requires use of certain critical accounting estimates, judgments and assumptions. These are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The following are the critical accounting estimates, judgments and assumptions used in preparing these financial statements:

4.1 Economic useful lives of property, plant and equipment

The Company reviews the useful life and residual value of property, plant and equipment on regular basis. Any changes in estimates may affect the carrying amounts of the respective items of property, plant and equipment with a corresponding effect on the depreciation charge.

4.2 Provisions

Provisions are recognised when there is a present, legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amounts can be made. Provision for guarantee claims and other off balance sheet obligations is recognised when intimated and reasonable certainty exists to settle the obligations.

4.3 Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.4 Impairments

4.4.1 Impairment of financial assets

The Company assesses at each statement of financial position date whether there is objective evidence that a financial asset or a group of financial assets is impaired.

In the case of equity securities classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the impairment loss is removed from equity and recognised in the statement of profit or loss.

4.4.2 Impairment of non-financial assets

Non-financial assets are reviewed for impairment at each balance sheet date or whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss or reversal of impairment loss is recognised in the statement of profit or loss. The recoverable amount is the higher of an asset's fair value less costs to sell and its value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. A reversal of the impairment loss is restricted to the original cost of the asset.

5. Property, plant and equipment

	Furniture and equipment	Motor vehicles	Total
Cost :			
At 31 March 2015	3,477	6,000	9,477
At 31 March 2016	**3,477**	**6,000**	**9,477**
Accumulated depreciation:			
At 31 March 2015	3,031	6,000	9,031
Depreciation for the year	91	-	91
At 31 March 2016	**3,122**	**6,000**	**9,122**
Carrying amount :			
At 31 March 2015	446	-	446
At 31 March 2016	**355**	**-**	**355**

6. Trade and other receivables

	2016	2015
Trade receivables	139,609	150,784
Provision for doubtful receivables (note 6.1)	(25,986)	(26,050)
	113,623	124,734
Unbilled revenue	23,377	9,982
	137,000	**134,716**

There is no material difference between the fair value of receivables and their carrying amount.

6.1 Provision for doubtful receivables

	2016	2015
Opening balance	26,050	25,987
Provision for the year	-	63
Provision reversed in the year	(64)	-
	25,986	**26,050**

Net trade receivables are expected to be fully recoverable and are unsecured. It is not the practice of the Company to obtain collateral over these trades receivables and these are, therefore, unsecured.

7. Advances, deposits and prepayments

	2016	2015
Advances to employees	2,915	732
Tender deposits	8,550	4,126
Prepayments	6,609	4,921
	18,074	**9,779**

8. Bank balance

	2016	2015
HSBC Middle East Limited	5,457	12,525
Cash and cash equivalents	**5,457**	**12,525**

The bank balances do not carry any interest rate.

9. Share capital

The share capital of the Company is BD 50,000 (2015: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

10. Statutory reserve

Under the provisions of the Bahrain Commercial Companies Law, an amount equivalent to 10% of the Company's net profit before appropriations is required to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, no transfer is made to such reserve, as the Company has incurred a loss (2015: BD 2,818).

11. Other payables

	2016	2015
Other payables	2,033	5,333
Payable to related parties - (note 11.1)	78,163	71,237
	80,196	**76,570**

11.1 Payable to related parties

	Relationship	2016	2015
Mindteck India Limited	Parent company	7,721	795
Mindteck Inc, USA	Sister concern	70,442	70,442
		78,163	**71,237**

12. Accrued and other liabilities

	2016	2015
Leave salary	19,606	19,360
Provision for expenses	1,953	985
	21,559	**20,345**

13. General and administrative expenses

	2016	2015
Employee costs (note 13.1)	87,165	44,001
Travelling and conveyance	8,142	8,839
Office rent	7,166	4,458
Legal and professional	4,220	5,813
Communication	2,652	1,884
Office expenses	2,390	1,126
Repair and maintenance	495	140
Provision for doubtful receivables	-	63
Depreication (note 5)	91	262
Bank charges	2,941	1,365
	115,262	**67,951**

13.1 Employee costs

	2016	2015
Salary and allowances	46,993	33,560
Employee benefits	24,579	254
Social insurance	7,462	4,507
Visa and immigration fee	2,375	2,331
Employee welfare	561	150
Others	5,195	3,199
	87,165	**44,001**

14. Related party transactions

14.1 Parent and ultimate controlling party

The Company is controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

14.2 Transactions with Parent company

	2016	2015
Expenses incurred by parent company	(16,330)	(11,130)
Expenses incurred on behalf of the parent company	9,406	20,163

15. Contingencies and commitments

There were no material contingencies known as at the date of the statement of financial position.

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

	2016	2015
No later than 1 year	3,008	6,017
Later than 1 year and no later than 5 years	-	3,008
	3,008	9,025

The Company has availed Bank guarantees during the year as below:

	2016	2015
HSBC Bank guarantees	8,784	3,716
	8,784	3,716

16. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balance, deposits and trade and other receivables. Financial liabilities include trade and other payables. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

16.1 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2016	2015
Bank balance	5,457	12,525
Tender deposits	8,550	4,126
Trade and other receivables	137,000	134,716
	151,007	151,367

16.2 Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company's transactions are either in Bahraini Dinars or United States Dollars, hence there is no significant foreign exchange risk.

16.3 Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2016

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	5,457	5,457	-	-
Tender deposits	8,550	-	8,550	-
Trade and other receivables	137,000	137,000	-	-
	151,007	**142,457**	**8,550**	**-**
Liabilities				
Employee terminal benefits	24,000	-	-	24,000
Other payables	80,196	80,196	-	-
Accrued liabilities	21,559	21,559	-	-
	125,755	**101,755**	**-**	**24,000**

2015

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balance	12,525	12,525	-	-
Tender deposits	4,126	-	4,126	-
Trade and other receivables	134,716	134,716	-	-
	151,367	**147,241**	**4,126**	**-**
Liabilities				
Other payables	76,570	76,570	-	-
Accrued liabilities	20,345	20,345	-	-
	76,570	**96,915**	**-**	**-**

16.4 Fair value of financial assets and liabilities

The carrying value of all financial assets and liabilities reflected in the financial statements approximate their fair values at the statement of financial position date.

16.5 Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximise the owner's wealth.

In order to achieve this objective, the Company maintains the share capital and reserves and may adjust the amount of dividend paid to the owner.

17. Rounding off

All the figures have been rounded off to the nearest Bahraini Dinar.

18. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison.